

Multiple Choice (10 marks)

1. A 39.90 radio can be purchased on the installment plan for 5.00 down and \$3.10 a month for a year. What is the annual interest rate for this installment purchase?
 - (a) 14%
 - (b) 17.5%
 - (c) 10%
 - (d) 15%
 - (e) 19.8%
2. Jefferson's Clothing has current assets of 150,000, *current liabilities of* 50,000, and capital of \$200,000. What is their current ratio?
 - (a) 3.5
 - (b) 1.5
 - (c) 1
 - (d) 6
 - (e) 5
3. This branding policy requires that all the products use the organization's name, either entirely or in part, e.g. Microsoft, Heinz, and Kellogg's
 - (a) Corporate brands.
 - (b) Manufacturer brand.
 - (c) Sub-branding.
 - (d) Family branding.
 - (e) Mixed branding.
4. If a preferred share of stock pays dividends of \$1.90 per year, and the required rate of return for the stock is 9%, then what is its intrinsic value?
 - (a) 19.00
 - (b) 20.35
 - (c) 25.40
 - (d) 23.50
 - (e) 24.75

5. Once referred to as a multibrand policy, this branding strategy requires that each product offered by an organization is branded independently of all the others. This is known as:
- (a) Multi-product branding.
 - (b) Sub-branding.
 - (c) Mixed branding.
 - (d) Family branding.
 - (e) Corporate brands.

True / False (10 marks)

Answer True or False

- 6. True or False: The cost per thousand for a full-page ad in Punk Magazine is \$15, given its large circulation.
- 7. True or False: Sales pricing begins with understanding customer willingness to pay rather than focusing solely on production costs.
- 8. True or False: Carroll's framework for corporate social responsibility includes Political, Legal, Ethical, and Environmental categories.
- 9. True or False: Businesses engage in social accounting mainly to satisfy customer needs and improve customer relations and satisfaction.
- 10. True or False: The price-to-earnings (P/E) ratio for Company A, trading at 150 *per share with earnings* per share, is 15.0.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate the proceeds from a 90-day sight draft of \$425 discounted at 5% on November 1, considering a bank collection fee of $(1/3)\%$. Explain your calculations and reasoning.
- 12. Calculate Pauline Key's gross earnings for a week in which she worked 48 hours on regular days and 4.5 hours on Sunday, detailing the calculations for regular, overtime, and Sunday pay.

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